

Political Distance and International Trade

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Political frictions have intensified

- ▶ War in Ukraine, tensions around Taiwan, and deteriorating US–China relations
- ▶ Growing concern that trade may fragment along political lines — a “New Cold War” (Gopinath et al. 2025)

Yet general evidence on the effect of political frictions remains limited

- ▶ Conflict and security shocks reduce trade (Martin et al. 2008; Glick and Taylor 2010; Korovkin and Makarin 2023)
- ▶ We know less about the continuous relationship between political frictions, trade, and welfare

Research question: How much do political frictions reduce trade?

A typical increase in political distance reduces trade by 3.4%

Approach

- ▶ Continuous, chance-corrected measure from UN General Assembly voting disagreement
- ▶ Theory-consistent gravity panel: 166 countries, 1966–2020, >90% of world manuf. output
- ▶ Estimate the total effect, its dynamics, and potential mechanisms

Results

- ▶ An increase by the mean within-pair SD predicts 3.4% less trade $\approx$ one quarter of removing an RTA
- ▶ Little prior trade movement; persistent declines follow higher political distance
- ▶ Sanctions attenuate the effect by 30%; security disagreement matters more than human-rights disagreement
- ▶ A New Cold War has small global but substantial regional welfare effects

Contribution to the literature

Political determinants of trade (Pollins 1989; Mityakov et al. 2013; Umaña Dajud 2013; Chen and Zhou 2021)

- ▶ Estimate the overall effect of political distance in a long-run, theory-consistent gravity framework.

Channels and political episodes (Michaels and Zhi 2010; Pandya and Venkatesan 2016; Heilmann 2016; Crozet and Hinz 2020)

- ▶ Compare demand- and trade-cost mechanisms within a common setting; evidence points primarily to trade costs.

Goeconomic fragmentation (Gopinath et al. 2025; Campos et al. 2023; Javorcik et al. 2024)

- ▶ Quantify the welfare effects of changes in a continuous bilateral political friction rather than predetermined blocs.

Gravity identifies the combined effect of political frictions

How may (latent) political frictions enter an Armington model?

Option 1: Demand shifter

- ▶ Political consumers as in Pandya and Venkatesan (2016, Freedom Fries)
- ▶ Higher frictions lower generated utility, reflected by coefficient $\gamma_s > 0$

Option 2: Trade cost

- ▶ Sanctions, higher costs for contract enforcement
- ▶ Higher frictions make supplying goods more expensive, reflected by coefficient $\gamma_d > 0$

Aggregate trade identifies combined effect δ , not its components

$$X_{ij} = \exp \left(A_i + B_j + C_{ij} + \underbrace{(1 - \sigma)(\gamma_d + \gamma_s)}_{\delta} pf_{ij} \right)$$

Political distance from UN voting disagreement

Possible votes on UNGA resolutions

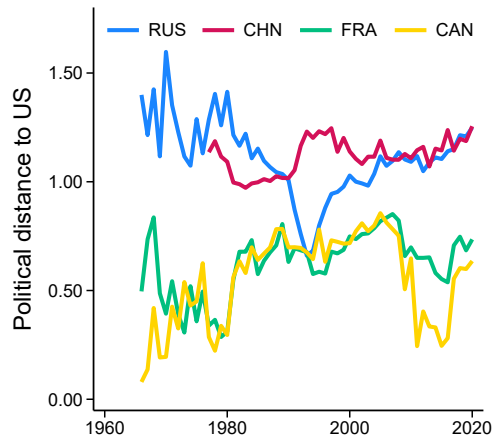
- ▶ yes (1), abstain/absent (0), no (−1)

Political distance proxies for political frictions

- ▶ Based on squared difference between votes
- ▶ 0 (perfect agreement) to 2 (maximum disagreement)

Numerical examples

Background



Notes: based on Häge (2017) and own calculations

Descriptive statistics

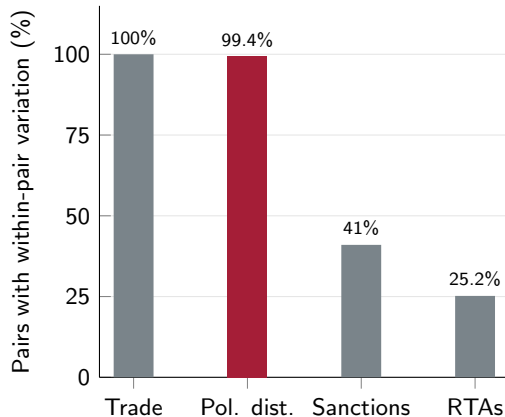
Political distance varies within virtually every country pair

A 55-year gravity panel

- ▶ More than 1 million observations
- ▶ More than 90% of world manufacturing
- ▶ Identification focuses on within-pair variation

Data coverage

Summary statistics



Empirical framework

The baseline estimates the total effect of political distance

Exports from country i to country j in year t :

$$X_{ijt} = \exp(\pi_{it} + \pi_{jt} + \pi_{ij} + \pi_{i \neq j, t} + \beta \text{pol dist}_{ijt} + \varepsilon_{ijt})$$

- ▶ β captures the combined demand- and trade-cost effect
- ▶ Exporter-year, importer-year, pair, and globalization fixed effects
- ▶ PPML estimation; standard errors clustered by country pair (Silva and Tenreyro 2006; Yotov et al. 2016)

Later: add leads and lags for dynamic effects, add controls for potential mechanisms

Baseline result

A typical increase in political distance predicts 3.4% less trade

Baseline: political distance and fixed effects only

- ▶ benchmark change: mean within-pair SD
- ▶ Such an increase reduces trade by 3.4%
- ▶ Stable across alternative UNGA-based measures
- ▶ Strongest during the late Cold War and since 2016

Economic magnitude Robustness

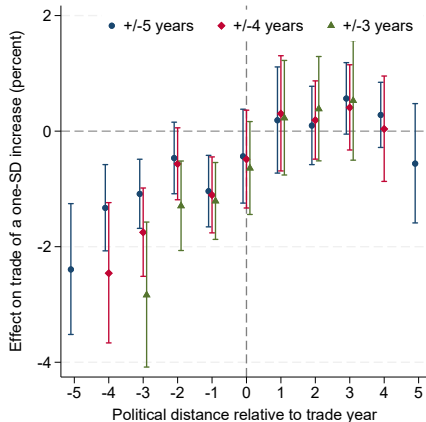
	Total effect
Political distance	-0.216*** (0.055)
Mean within-pair SD	0.158
One-SD effect on trade	-3.36%
Observations	1,011,432
Country pairs	26,112

Notes: All standard fixed effects; *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

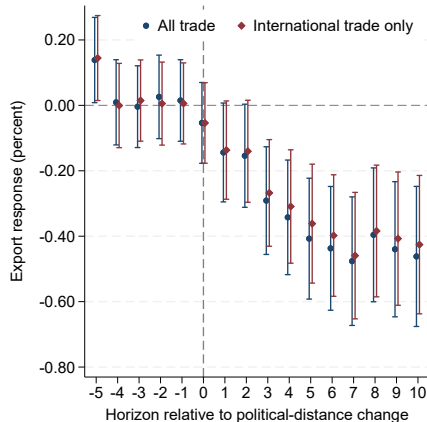
Dynamic effects

Trade falls after political distance increases, not before

Lead-lag gravity (Baier and Bergstrand 2007)



Local projections: IHS exports (Boehm et al. 2023)



Full results

Mechanisms

Evidence points toward a trade-cost channel

Attenuation exercise

- ▶ Add candidate policy channels separately to the baseline
- ▶ Controlling for RTAs attenuates the effect by only 7%
- ▶ Controlling for sanctions attenuates the effect by 30%
- ▶ Descriptive evidence, not causal mediation

Take-away: sanctions explain a meaningful share, while the topic results are more consistent with a trade-cost channel than a demand shifter.

Topic heterogeneity

- ▶ Security disagreement has the strongest and most robust effect
- ▶ Economic disagreement is also negative and significant
- ▶ Human-rights disagreement is small and insignificant
- ▶ In a joint horse race, only security remains significant

Topic estimates

Policy channels

Counterfactuals

A New Cold War translates political realignment into welfare changes

I embed the estimates in a standard Armington general-equilibrium model (Armington 1969)

1. Approximate 1962 political distances for 158 countries in 2020
2. Apply the post-2016 effect ($\delta = -0.38$) and estimated trade elasticity ($\theta = 3.02$)
3. Solve for real-income changes; bootstrap 5,000 joint draws

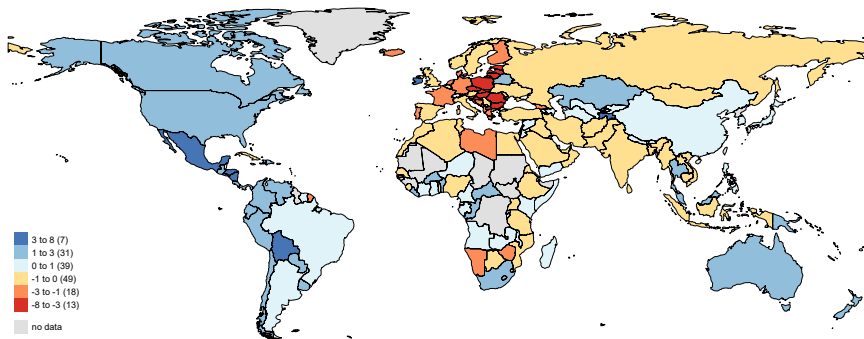
Two specifications

- ▶ Total effect of political distance, and a comparison holding sanctions fixed
- ▶ The global mean is close to zero (-0.06%), but regional effects are large

Counterfactual distances

Summary statistics

A New Cold War redistributes welfare across regions



Americas: +2.21%; other Europe: -1.50%; former Warsaw Pact: -2.05%.
Country effects range from -7.87% in Slovenia to +6.56% in El Salvador.

Total effect vs. sanctions held fixed

Political distance is a quantitatively meaningful trade friction

Political frictions have a meaningful impact on trade...

- ▶ A 1-SD within-pair increase predicts 3.4% less trade $\approx$ one quarter of removing an RTA
- ▶ Little trade movement beforehand; persistent declines follow increases in political distance
- ▶ Sanctions and security-related disagreement point toward a trade-cost channel

... and on real income

- ▶ A New Cold War has a small global-average effect but substantial regional exposure

Take-away: Political distance has long been a salient determinant of trade, not merely a potential future risk

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Appendix

Armington model

Environment and consumer problem

- ▶ Each country i produces one distinct variety at factory-gate price p_i
- ▶ Destination j has expenditure E_j and CES elasticity $\sigma > 1$
- ▶ Shipping one unit requires $\tau_{ij} \geq 1$ units at the origin

The representative consumer in j solves

$$\max_{\{q_{ij}\}_i} U_j = \left(\sum_i a_{ij}^{\frac{1-\sigma}{\sigma}} q_{ij}^{\frac{\sigma-1}{\sigma}} \right)^{\frac{\sigma}{\sigma-1}} \quad \text{s.t.} \quad \sum_i p_i \tau_{ij} q_{ij} \leq E_j.$$

Interpretation: $p_i \tau_{ij}$ is the delivered price; a larger inverse demand weight a_{ij} lowers the relative valuation of goods from i .

Armington model

Political friction enters demand and trade costs

Let latent bilateral political friction be $pf_{ij} \geq 0$:

$$\begin{aligned}\ln a_{ij} &= \ln \bar{a}_{ij} + \gamma_d pf_{ij}, & \gamma_d &\geq 0, \\ \ln \tau_{ij} &= \ln \bar{\tau}_{ij} + \gamma_s pf_{ij}, & \gamma_s &\geq 0.\end{aligned}$$

Demand margin: γ_d

- ▶ Country-of-origin aversion
- ▶ Political consumerism and boycotts

Trade-cost margin: γ_s

- ▶ Contracting, insurance, and financing risk
- ▶ Compliance costs and policy restrictions

Normalize $pf_{jj} = 0$, $a_{jj} = 1$, and $\tau_{jj} = 1$: bilateral frictions are measured relative to domestic sourcing.

Armington model

CES demand combines both channels

The destination price index is

$$P_j = \left[\sum_i (a_{ij} p_i \tau_{ij})^{1-\sigma} \right]^{\frac{1}{1-\sigma}}.$$

Bilateral expenditure at delivered prices is

$$X_{ij} = q_{ij} p_i \tau_{ij} = \left(\frac{a_{ij} p_i \tau_{ij}}{P_j} \right)^{1-\sigma} E_j.$$

Define the composite bilateral friction

$$\omega_{ij} \equiv a_{ij} \tau_{ij}, \quad \ln \omega_{ij} = \ln \bar{\omega}_{ij} + (\gamma_d + \gamma_s) p f_{ij}.$$

Key implication: aggregate bilateral expenditure depends on the product $a_{ij} \tau_{ij}$, not on either channel separately.

Armington model

Market clearing yields structural gravity

Market clearing requires $Y_i = \sum_j X_{ij}$ and implies

$$X_{ij} = \frac{Y_i E_j}{Y} \left(\frac{\omega_{ij}}{\Pi_i P_j} \right)^{1-\sigma}, \quad Y = \sum_i Y_i = \sum_j E_j.$$

The multilateral-resistance terms satisfy

$$\Pi_i^{1-\sigma} = \sum_j \left(\frac{\omega_{ij}}{P_j} \right)^{1-\sigma} \frac{E_j}{Y},$$

$$P_j^{1-\sigma} = \sum_i \left(\frac{\omega_{ij}}{\Pi_i} \right)^{1-\sigma} \frac{Y_i}{Y}.$$

- ▶ Π_i : average incidence of frictions on exports from i
- ▶ P_j : destination j 's access to alternative suppliers

General equilibrium: a bilateral shock affects trade directly and indirectly through multilateral resistance, output, and expenditure.

Armington model

The gravity equation identifies the combined effect

Substitution of political friction into structural gravity gives

$$X_{ij} = \exp(A_i + B_j + C_{ij} + \delta pf_{ij}),$$
$$\delta = (1 - \sigma)(\gamma_d + \gamma_s) \leq 0.$$

- ▶ A_i : output and outward multilateral resistance
- ▶ B_j : expenditure and inward multilateral resistance
- ▶ C_{ij} : persistent bilateral friction $\bar{\omega}_{ij}$

Restoring time indices maps these terms into exporter–year, importer–year, and country-pair fixed effects.

- ▶ β is estimated from within-pair changes in observed political distance
- ▶ Because political distance proxies for pf_{ij} , β need not equal δ
- ▶ Bilateral expenditure alone cannot separate γ_d from γ_s

Armington model

From political realignment to welfare

For a counterfactual change in political distance,

$$\Delta_{ij}^{cf} = \text{political distance}_{ij}^{cf} - \text{political distance}_{ij},$$
$$\hat{\tau}_{ij}^{-\theta} = \exp \left(\delta \Delta_{ij}^{cf} \right).$$

- ▶ Use the post-2016 effect $\delta = -0.38$ and estimated trade elasticity $\theta = 3.02$
- ▶ Feed the iceberg-cost-equivalent shock into the one-sector Armington system
- ▶ Solve jointly for trade, multilateral resistance, output, expenditure, and real income
- ▶ Bootstrap 5,000 draws from the joint distribution of δ and θ

Two exercises: the total estimated effect and the effect conditional on sanctions, interpreted as holding the sanctions channel fixed rather than as causal mediation.

Return

Measuring political distance

Return

For pair i, j in year t , let $\mathcal{R}_{ijt}$ be the common recorded resolutions and $R_{ijt} = |\mathcal{R}_{ijt}|$. Code v_{ir} as yes (1), abstain/absent (2), or no (3). All sums below are over $r \in \mathcal{R}_{ijt}$.

$$\text{political distance}_{ijt} \equiv 1 - \kappa_{ijt}$$

$$= \frac{\sum_r (v_{ir} - v_{jr})^2}{\sum_r (v_{ir} - \bar{v}_{i,ijt})^2 + \sum_r (v_{jr} - \bar{v}_{j,ijt})^2 + R_{ijt}(\bar{v}_{i,ijt} - \bar{v}_{j,ijt})^2} \in [0, 2].$$

Perfect agreement

r	v_{ir}	v_{jr}
1	1	1
2	3	3
$\bar{v}_{\cdot,ijt}$	2	2

$$\text{political distance}_{ijt} = 0$$

Perfect disagreement

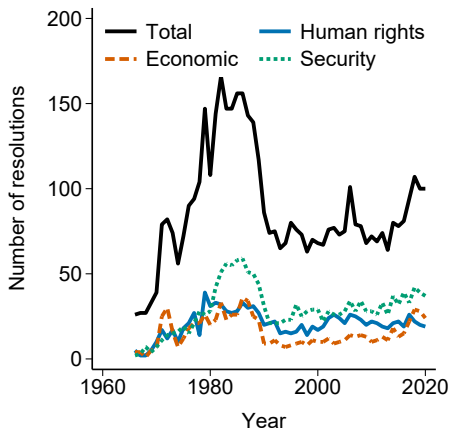
r	v_{ir}	v_{jr}
1	1	3
2	3	1
$\bar{v}_{\cdot,ijt}$	2	2

$$\text{political distance}_{ijt} = 2$$

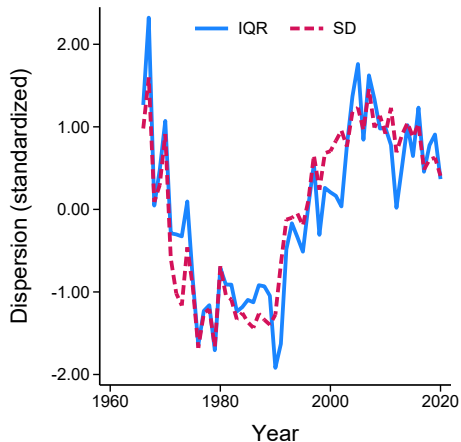
UN voting covers many issues and reveals changing fragmentation

Return

(a) Resolutions at the UNGA

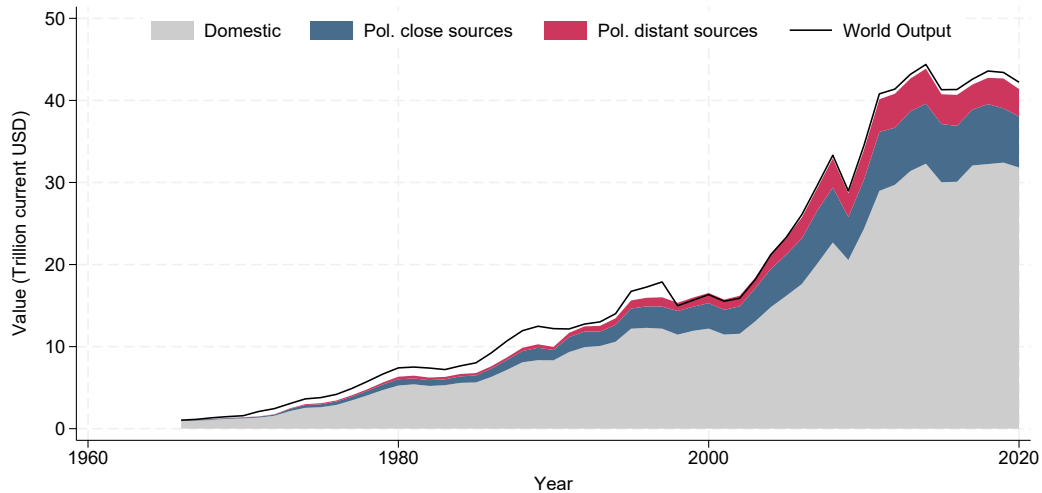


(b) Fragmentation across levels



Data coverage

Return



Within-pair variation — summary statistics

Return

Variable	Obs.	Mean	Median	SD Total	SD Within	$\frac{\text{Within}}{\text{Total}}$	Share(SD > 0)
Core variables							
Trade (Million USD)	1,011,432	919.31	0.18	50,424.76	630.24	0.01	1.00
Political distance	1,011,432	0.82	0.90	0.30	0.16	0.53	0.99
Potential channels							
Tariff, Teti	697,300	0.10	0.08	0.10	0.03	0.35	0.96
Any trade agreement	1,011,432	0.15	0.00	0.36	0.11	0.30	0.25
Any sanction	1,011,432	0.14	0.00	0.35	0.16	0.47	0.41

The 3.4% effect is economically meaningful

Return

Consider a one-SD within-pair increase in political distance, 0.16:

$$100 \cdot \left(\exp \left(\hat{\beta} \cdot 0.16 \right) - 1 \right) = -3.36\%$$

Benchmarks

- ▶ Removal of an RTA: about -7% trade
- ▶ Increase in average tariffs by 1.2 percentage points: about -3.22% trade

	(1)	(2)	(3)	(4)	(5)	(6)
Quantitative Cohen's κ	-0.216*** (0.055)			-0.202*** (0.058)	-0.203*** (0.058)	-0.240*** (0.057)
Qualitative Cohen's κ		-0.244*** (0.062)				
Scott's π			-0.156*** (0.049)			
Ongoing MID					0.015 (0.025)	
Mean within-pair SD	0.158	0.134	0.198	0.162	0.162	0.161
One-SD effect on trade (%)	-3.36	-3.21	-3.04	-3.21	-3.23	-3.80
Delta-method SE	0.83	0.81	0.94	0.91	0.91	0.89
Observations	1,011,432	1,011,432	1,011,432	866,262	866,262	857,115

Lead-lag timing evidence — full results

Return

	(1) ±5 years	(2) ±4 years	(3) ±3 years	(4) ±2 years	(5) ±1 year
Political distance					
year $t - 5$	-0.162*** (0.040)				
year $t - 4$	-0.089*** (0.026)	-0.166*** (0.042)			
year $t - 3$	-0.073*** (0.021)	-0.118*** (0.027)	-0.192*** (0.044)		
year $t - 2$	-0.031 (0.021)	-0.038* (0.021)	-0.087*** (0.027)	-0.173*** (0.044)	
year $t - 1$	-0.070*** (0.021)	-0.074*** (0.023)	-0.081*** (0.023)	-0.140*** (0.030)	-0.212*** (0.046)
year t	-0.029 (0.028)	-0.033 (0.029)	-0.043 (0.028)	-0.051* (0.027)	-0.097** (0.039)
year $t + 1$	0.013 (0.031)	0.020 (0.034)	0.015 (0.034)	0.018 (0.040)	0.032 (0.058)
year $t + 2$	0.006 (0.023)	0.013 (0.023)	0.026 (0.031)	0.046 (0.045)	
year $t + 3$	0.038* (0.021)	0.027 (0.025)	0.035 (0.035)		
year $t + 4$	0.019 (0.019)	0.003 (0.031)			
year $t + 5$	-0.038 (0.035)				
<i>p</i> -value: leads jointly zero	0.080	0.636	0.794	0.472	0.579
<i>p</i> -value: lags jointly zero	0.000	0.000	0.000	0.000	0.000
Observations	766,172	766,172	766,172	766,172	766,172

Baseline fixed effects; no tariffs, RTAs, or sanctions. Standard errors are clustered by country pair.

Local projections

Return

No evidence of differential pretrends across specifications

Outcome	Trade sample	Horizon sample	Joint pre-period p	Joint post-treatment p
IHS	All trade	Horizon-specific	0.255	0.001
IHS	All trade	Fixed	0.072	0.002
Log	All trade	Horizon-specific	0.300	0.086
Log	All trade	Fixed	0.163	0.007
IHS	International	Horizon-specific	0.244	0.002
IHS	International	Fixed	0.105	0.006
Log	International	Horizon-specific	0.309	0.097
Log	International	Fixed	0.195	0.011

The table reports joint-test p -values for horizons $h = -5, \dots, -1$ and $h = 0, \dots, 10$. All specifications include horizon-specific directed-pair, exporter-year, importer-year, and international-status-year fixed effects; standard errors are clustered by undirected country pair.

	Total effect	+ Tariffs	+ RTA	+ Sanctions	+ All
Political distance	-0.216***	-0.213***	-0.201***	-0.149***	-0.142***
Standard error	(0.055)	(0.050)	(0.051)	(0.055)	(0.050)
$\ln(1 + \text{tariff})$		-2.626***			-2.480***
Any RTA			0.134***		0.068**
Any GSDB sanction				-0.119***	-0.114***
One-SD effect	-3.36%	-3.32%	-3.13%	-2.33%	-2.23%
Attenuation	—	1%	7%	31%	34%

- ▶ Tariffs and RTAs leave the political-distance estimate nearly unchanged
- ▶ Sanctions attenuate the estimate by about 30%, but this is not a causal mediation share

Political distance based on	One-SD effect on trade	Horse-race coefficient
All topics	−2.24%*** (0.77)	—
Human-rights resolutions	−0.50% (0.88)	0.028 (0.041)
Economic resolutions	−1.64%*** (0.56)	−0.035 (0.024)
Security resolutions	−2.32%*** (0.59)	−0.105*** (0.031)

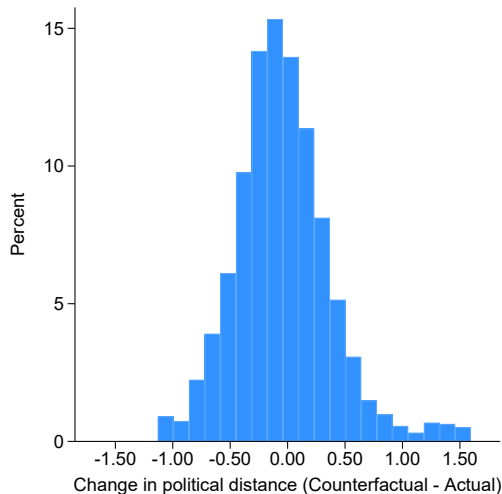
All models condition on tariffs, RTAs, sanctions, and the standard fixed effects. Security distance has the largest standardized effect; in the horse race, only security distance remains significant. Standard errors are in parentheses. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

Constructing New-Cold-War distances

Return

1. Set political distance to zero for domestic trade and within the former Soviet Union
2. Use 1962 political distances when both countries or their legal ancestors are observed
3. Otherwise approximate historical alignments using modern-day political neighbors

The average change is small, but changes vary substantially across country pairs,



Welfare effects by region

Country group	N	Total effect			Sanctions held fixed		
		Mean	Min	Max	Mean	Min	Max
Americas	29	2.21	-0.79 (BHS)	6.56 (SLV)	1.80	-0.66 (BHS)	5.32 (SLV)
Former Warsaw Pact	22	-2.05	-6.58 (HUN)	3.33 (TJK)	-1.81	-5.65 (HUN)	2.69 (TJK)
Other Europe	25	-1.50	-7.87 (SVN)	3.31 (IRL)	-1.28	-6.65 (SVN)	2.68 (IRL)
Rest of the world	82	0.12	-2.66 (CYP)	2.60 (COG)	0.09	-2.25 (CYP)	2.15 (COG)
All countries	158	-0.06	-7.87 (SVN)	6.56 (SLV)	-0.08	-6.65 (SVN)	5.32 (SLV)

Notes: Welfare changes are in percent. Total effect uses the estimate without sanctions; “sanctions held fixed” uses the estimate conditional on sanctions.